

Resource Center doc: Canadian Economic Relief Update

We are actively tracking small business economic relief opportunities for our Canadian franchisees. Earlier this week the Canadian Government introduced the COVID-19 Economic Response Plan which was adopted to assist individuals and businesses.

When it comes to lending, several solutions are available through government programs and private lenders. Below are proactive financial steps you may want to consider taking in response to COVID-19. Consult with your accountant, lender, attorney and other external resources regarding the best solutions for your business.

If you currently have a loan with the BDC: the CSBL program or an equipment lease, it is recommended to connect with your bank or lender and check into deferral or interest only payment opportunities to provide some relief on that obligation.

For current or future capital needs: we recommend that you communicate directly with one of the 6 major lenders in Canada and inquire about the Business Credit Availability Program (BCAP) which has been created specifically for funding economic loss due to COVID-19.

To speed up your application process for government loans or other conversations with your lender, prepare ahead of time. It is up to you to clearly present your need. Put your narrative for a financial support request in writing; be concise but compelling. Share the story behind your request, including the start date for your temporary closure, estimated impact to revenue, and how you'll use the loan.

Most importantly, be specific about how much you think you'll need and how you arrived at that number. Have this prepared in advance, as the banks and government generally will not act on round number requests without documented facts.

- Current personal financial statement from all guarantors
- Year to date financial statements of business
- Bank statements
- Tax returns (personal and business)

Resources: Please review the link below for a full layout of personal and commercial lending benefits as well as a timeline of events on all available programs.

- <https://www.canada.ca/en/departement-finance/economic-response-plan.html>

Webinar for Canadian Owners:

- Date:
- Time:
- Link to login or register:

Negotiating with Landlords

SEB Real Estate has put together the following information for your consideration during this challenging time for your business. It is important to note we are not providing legal advice.

We recommend you seek the advice of a real estate attorney as you review your lease, insurance, and other legal terms. If you need recommendations for a local real estate attorney, contact your SEB Real Estate team member who oversees your territory.

Since your business is local, we have found landlords are more receptive to hearing directly from you versus SEB Real Estate from the home office. If you need help to strategize, we are here for you. Need a local real estate attorney? Upon request, we can provide a list with the help of our local broker network. If you want to discuss your situation, please reach out to the [SEB Real Estate team member](#) who oversees your territory.

In the meantime, please keep in mind the following items related to rent reduction requests:

- There is no broad strategy/set formula for negotiating with landlords or getting relief. Negotiations will be on a case-by-case basis and will depend on many factors including, location, performance and regional market conditions.
- Landlords are getting (and expecting) calls from tenants for relief.
- Your landlord may not understand your unique business, circumstance, and local government orders. It may be helpful to describe the facts about your particular situation and how COVID-19 is impacting your business, customers, and employees.
- If the landlord owes you money on a location like a tenant improvement allowance, then consider not deferring/delaying payments to landlords that might owe you money but instead exchanging rent for the allowance.
- If you consider delaying payment or making a reduced payment – be aware of the potential consequences for late or reduced payments as set forth in your leases.
- Consult with your attorney to understand what course of action, if any, your landlord is likely to take, independent of its contractual remedies.

As part of any rent reduction request, it is important to understand the following items:

- Known and unknown impact of COVID-19 to your sales (landlords will likely want to see actual sales impact)
- Landlord response/statement regarding COVID-19 thus far
- Force Majeure language in both your lease and your insurance – does COVID-19 apply?

Government mandated closures in your City/State and government programs that may become available for financial assistance

Try to understand what matters to the landlord. Are they an institutional REIT, regional investor, or mom & pop, etc.? They likely have their own financial considerations to handle.

In general, expect landlords to ask for extra collateral/extra guarantees in exchange for rent concessions. Additionally, be prepared for landlords to be unable to make a commitment at this time. Be patient as they are still trying to figure out their best course of action in a uniform response from all the requests they are getting at this time.

We recommend contacting your landlord sooner than later, and making the initial proposal of what you are looking for them to do. Asking in general for help or their plan of action with other businesses will yield limited results, and can be an easy way for landlords to delay response or simply say “no” to a rent reduction request.

Given the situation is fluid, our recommendation is to request that you immediately be able to pay a percentage of rent based on your last 12 months of average rent versus gross sales. (e.g., Avg Gross Rent / Avg Gross Sales = % Rent). This will allow for a clear cut definition of the rent relief tied to your actual sales while allowing landlords to still collect rent now and when your location rebounds.

Example: Last 12 Months Avg. Gross Rent / Last 12 Month Avg. Gross Sales = % Rent. For example, if average gross rent was \$50,000 and average gross sales were \$200,000, you would propose paying 25% of sales in rent moving forward.

[Download a Sample Template for Rent Reduction Request](#)

Insurance Coverage

We encourage you to contact your business insurance provider to discuss insurance coverages. It may be unlikely that insurance will cover general business loss from temporary closure, but it doesn't hurt to try. Here are typical scenarios for insurance claims:

- For property only – Generally, property insurance policies require direct physical loss or damage to covered property in order to trigger coverage. Thus, for business income coverage to apply to a COVID-19 claim, there must be direct physical loss or damage to your covered property that causes a loss of business income. In addition, the cause of loss of business income must be covered, and many property policies include a virus exclusion (yours does).
- For general liability only – Generally, liability policies do not cover business interruption claims. If there is a third-party COVID-19-related claim alleging our insured (you) negligently caused bodily injury, then there might be coverage, unless there is a communicable disease exclusion or a virus-related exclusion on the policy. Other terms and conditions of the policy may also apply to the particular claim. You do not have a communicable disease exclusion on the policy.